Topic 3 – Understanding the process and principles of negotiation

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Learning outcomes

This topic introduces the process and principles of negotiation to enable you to obtain a detailed and critical understanding of both the theoretical and practical aspects of negotiation including:

- the theoretical development of negotiation
- the principles of negotiating strategies
- the process of negotiation.

Topic reading

Core text

- Blake, Browne and Sime, Chapter 3 'Negotiation' (available in E-book Central via the Online Library).

Essential reading

- Palmer, M. and S. Roberts *Dispute processes: ADR and the primary forms of decision-making*. (Cambridge: Cambridge University Press, 2020) third edition [ISBN 9781107687578] Chapter 5 'Development of disputes, avoidance and self-help' (available in Cambridge Aspire via the Online Library).
- Fisher, R. and W. Ury 'Getting to yes' (1982) 71(2) *Management Review* 16–21 (available in ProQuest via the Online Library).
- Schneider, A.K. and R.J. Lewicki 'The past and future challenges of negotiation theory' (2016) 31(1) *Ohio State Journal on Dispute Resolution* 1–19 (available in HeinOnline via the Online Library).
- Wang, F.F. 'Online dispute resolution: best practices in comparative perspective' (2017) 12(2) *Journal of Comparative Law* 472–95 (available in HeinOnline via the Online Library).

Introduction

This topic introduces the process and principles of negotiation, providing you with a detailed and critical understanding of both its theoretical foundations and practical applications. It examines the evolution of negotiation as a key dispute resolution method, explores different negotiation types and strategies, such as positional negotiation, principled negotiation and pragmatic negotiation, and outlines the stages of the negotiation process. The topic also highlights the role of negotiation within the broader ADR framework and its increasing use in digital and online contexts, preparing you to navigate negotiations in various legal and commercial settings.

Mini lecture 1

10:02

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3.1 Conceptual development of negotiation

3.1.1 Conceptual development of negotiation

Negotiation is a fundamental method for decision-making in both everyday interactions and formal settings. Its core principles remain consistent, whether resolving simple matters or addressing intense conflicts, making it a universal approach for managing decisions and disputes. Negotiations can occur at various stages of a dispute, aligning with the principles of the overriding objective introduced by the Woolf reforms, which aims to enable the court to deal with cases justly and at proportionate cost (CPR Rule 1.1).

Negotiation is the most commonly used form of ADR, offering a highly flexible process that involves written or oral communication between the parties or their legal representatives to reach a settlement. While written or telephone negotiations are typically the most cost-effective, face-to-face or video conferencing meetings may be more suitable for resolving complex issues. Complex negotiations, particularly those involving multiple parties or internal group differences, introduce added layers of difficulty. As the number of parties increases, so do communication challenges and decision-making obstacles. In intra-party negotiations, challenges may arise in managing differing interests and maintaining cohesion, while multi-party negotiations demand more elaborate communication structures and coordination, making each stage of the process more intricate.

The theoretical development of negotiation as a structured process emerged gradually, drawing on concepts from economics, game theory, labour relations, international relations and social psychology. It was not until the 1980s, with the standardisation of negotiation courses, that dedicated negotiation materials and expertise began to emerge. Business schools first recognised in the mid-1970s that negotiation and conflict management skills were applicable beyond sales and labour relations, extending to various managerial roles. In law schools, the emphasis on negotiation as a problem-solving tool grew alongside the rise of ADR, highlighting its value in resolving conflicts outside of traditional court settings. In theory, negotiating strategies can be broadly categorised into three main approaches: positional (distributive) negotiation; principled (integrative) negotiation; and pragmatic negotiation – a hybrid of the first two. These approaches and their underlying principles will be explored further in Section 3.2.

3.1.2 The types of negotiation

Negotiation in dispute resolution can be categorised into unassisted (direct) negotiation and assisted (third-party facilitated) negotiation. In unassisted negotiation, parties communicate direct to reach a settlement without involving external help. This method is cost-effective, quick and allows for maximum control over the outcome, as parties can freely discuss terms and reach mutually beneficial agreements. However, it may not be effective if there is a significant power imbalance, lack of trust, or poor communication skills between the parties. In such cases, disputes may escalate rather than be resolved.

Assisted negotiation involves the participation of a neutral third party to help facilitate communication and negotiation between the disputing parties. However, unlike mediation, the third party in assisted negotiation does not actively propose solutions or mediate discussions. Instead, their role is more about helping the parties communicate effectively and stay

focused on problem-solving. For example, in the UK, Financial Dispute Resolution (FDR) appointments are a court-assisted negotiation process used in family law cases, aimed at facilitating settlement between parties in a confidential, without-prejudice setting. During an FDR appointment, both parties appear before a District Judge, who provides guidance on the likely outcome if the case proceeded to trial, encouraging parties to reach an agreement. It is a compulsory step in the financial remedy process under Part 9 of the Family Procedure Rules, typically occurring after the first directions hearing. Both parties are required to attend unless the court grants an exception. The goal of FDR is to reduce conflict and achieve settlement efficiently, avoiding the need for a full trial.

In the digital environment, online negotiation tools in dispute resolution – excluding mediation and arbitration – focus on facilitating direct communication and settlement between disputing parties through digital platforms. Examples include eBay Resolution Centre, which helps buyers and sellers resolve issues direct, and Modria, an ODR platform that allows for automated negotiation processes in consumer and commercial disputes (see Wang (2017) article). Platforms like Matterhorn enable parties to negotiate traffic violations and minor civil disputes entirely online, while Smartsettle uses algorithms to find optimal solutions based on party preferences. These tools streamline the negotiation process, reduce costs and eliminate the need for face-to-face meetings, making dispute resolution faster and more accessible. However, they may lack the personalised touch of in-person negotiations and can be limited by technology access and user familiarity with digital platforms.

Mini lecture 2

11:55

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3.2 The negotiation process and principles

Core text

- Blake, Browne and Sime, Chapter 3 ‘Negotiation’ (available in E-book Central via the Online Library).

Essential reading

- Fisher, R. and W. Ury ‘Getting to yes’ (1982) 71(2) *Management Review* 16–21 (available in ProQuest via the Online Library).

3.2.1 The principles of negotiating strategies

Negotiating strategies are guided by key principles such as thorough preparation, clear goals, flexibility, effective communication and building trust. Successful negotiators focus on underlying interests rather than fixed positions, aim for mutually beneficial outcomes and use power responsibly.

Effective negotiation begins with thorough preparation, which significantly boosts confidence and improves the likelihood of successful outcomes. Prior to engaging in discussions, it is crucial to develop a solid understanding of relevant legal issues and regulatory guidance – resources like Citizens Advice website can provide valuable insights. Gathering key facts, evidence and understanding the positions of all parties involved sets the foundation for informed decision-making.

The next step involves strategic planning and defining objectives from both perspectives. Setting realistic goals and ambitions is essential to avoid deadlock and maintain progress. For instance, in straightforward disputes such as e-commerce disputes on eBay, when a buyer raises a complaint about a defective item, sellers often opt for practical solutions like offering a partial refund or a replacement rather than escalating the matter to eBay's Resolution Centre. This pragmatic approach not only resolves the issue swiftly but also preserves the seller’s rating and reputation.

As discussed, negotiation strategies generally fall into three main categories: positional negotiation; principled negotiation; and pragmatic negotiation. Positional negotiation is the traditional method where parties hold firm to their demands, aiming to claim the largest possible share of value. It is often referred to as ‘win–lose’ negotiation. The theory is grounded in the notion that negotiations are inherently competitive. This strategy emphasises a guarded stance toward the opposing party, operating on the belief that success is achieved by leveraging established tactics to secure the most advantageous outcome. The focus is on claiming the largest possible share of value, often prioritising individual gains over mutual benefit.

By contrast, principled negotiation, developed by Roger Fisher and William Ury, promotes a problem-solving approach that contrasts with the competitive nature of positional bargaining. This method emphasises identifying and addressing the underlying interests of both parties, rather than rigidly defending specific positions. It encourages negotiators to remain focused on their best alternative to a negotiated agreement (BATNA) while exploring options for mutual benefit. By

prioritising fair standards, principled negotiation aims to achieve joint decisions efficiently, avoiding the transactional costs associated with entrenched positions. Additionally, it advocates for separating the people from the problem, enabling empathetic and constructive communication that facilitates amicable resolutions.

For more complex negotiations, pragmatic negotiating skills become crucial. Pragmatic negotiation represents a hybrid of positional and principled approaches, emphasising flexibility and outcome-oriented solutions. Unlike purely positional bargaining, it avoids rigid stances and, unlike solely principled negotiation, it allows room for strategic positioning when necessary. This strategy prioritises practical resolutions by focusing on the interests and needs of all parties, building trust and pursuing mutually beneficial agreements, thereby increasing the chances of achieving sustainable and satisfactory outcomes.

In the context of digital negotiations, a study (by Lai, Lin and Kersten (2010), see Further reading) utilising a text-based asynchronous e-negotiation platform examined purchasing negotiations among participants communicating in both native and non-native languages. The findings revealed that language familiarity significantly influences persuasive behaviour during e-negotiations, with greater familiarity boosting both language self-efficacy and negotiation self-efficacy, ultimately impacting negotiation effectiveness.

The way offers are framed in negotiations can greatly influence outcomes. For instance, stating, 'I'm asking £1,000 for the laptop' focuses on the buyer's loss (money), while 'I can give you the laptop for £1,000' highlights the buyer's gain (the laptop). Although the price remains the same, research shows that the latter phrasing often prompts greater concessions from the other party due to loss aversion – a common bias where people prioritise avoiding losses over acquiring equivalent gains. Therefore, framing proposals around potential gains rather than losses can enhance the chances of reaching a favourable agreement (see Shonk, K. *Negotiation tools and techniques: research roundup* 15 May 2025 in Further reading).

In online negotiations, selecting the right communication platform for each stage is also crucial – emails work best for formal agreements, while video calls are ideal for detailed discussions. In the *Make the most of online negotiations* report by Harvard Law School, it further emphasises that negotiators should practise patience and adaptability, demonstrating empathy for challenges their counterparts may encounter, such as time-zone differences, to sustain goodwill. Ensuring accessibility and inclusivity throughout the negotiation process is also crucial, similar to team projects where effective communication helps prevent misunderstandings and promotes collaboration.

3.2.2 The negotiation process

The negotiation process in dispute resolution follows a structured sequence designed to facilitate effective communication and resolution. It begins when a dispute arises and the parties decide to engage in negotiation, which can occur at various stages of the conflict. The process typically starts with setting a clear structure and agenda, where participants outline the issues to be addressed and agree on the format of the discussion. This is followed by the opening stage, where the parties introduce themselves, establish expectations and set the tone for the conversation. During the negotiation, each side seeks relevant information, presents their case and plans their approach. Offers and demands are exchanged as the parties aim to reach a mutually beneficial agreement. Throughout the process, negotiators remain focused on identifying areas of compromise and adjusting their strategies as necessary.

As the negotiation progresses, the parties work towards finding common ground through a series of offers, counteroffers and discussions. Challenges, such as emotional tension or impasses, may arise, requiring patience, adaptability and, potentially, third-party assistance. The negotiation concludes when a settlement is reached, which may be clarified and recorded in writing. If the parties cannot agree, the negotiation may break down and the dispute may escalate to ADR methods like arbitration or even court. The key to successful negotiation is maintaining a collaborative and flexible approach, allowing both parties to address their interests and concerns while working towards a fair and satisfactory resolution.

While negotiation shares certain features with mediation, such as its informal setting, voluntary participation and emphasis on mutual agreement, the key differences, particularly regarding the involvement and role of a neutral third party, will be explored in more detail in Topic 4.

Sample examination question 1

Question

In complex commercial disputes, pragmatic negotiation is more effective than purely principled negotiation because it allows for flexibility and strategic adaptation to real-world constraints.

Critically assess this statement.

Tutor guidance

Using the guidance below, think about how you would answer the question. When you are ready, read the feedback.

It is important to break the question down into its constituent issues. You are considering each of these issues with a view critically evaluating the strengths and limitations of pragmatic negotiation compared to principled negotiation in the context of complex commercial disputes. Before looking at the feedback, you should try to find a response to the issues in this problem. These questions will help to focus your answer:

1. What are the core features of pragmatic negotiation and principled negotiation?
2. Why does complexity in commercial disputes might necessitate a flexible approach?
3. What could be practical examples or hypotheticals (e.g. negotiations over a commercial contract) when pragmatic negotiation might outperform a strictly principled approach?
4. Are there any benefits of principled negotiation, even in complex cases?

+ Feedback

The core features of principled negotiation include focusing on the underlying interests of both parties rather than fixed positions, separating the people from the problem and aiming for mutually beneficial, fair and efficient outcomes. It encourages parties to remain aware of their best alternative to a negotiated agreement (BATNA) while seeking joint solutions that avoid the transactional costs of entrenched bargaining. By contrast, pragmatic negotiation blends principled and positional elements, emphasising flexibility, strategic positioning, when necessary, and outcome-oriented solutions. It adapts to the practical needs and interests of all parties, building trust and enabling agreements that are sustainable and satisfactory even in complex contexts.

Complex commercial disputes often involve multiple stakeholders, competing interests, and unpredictable dynamics, which necessitate a more flexible, pragmatic approach. For example, in negotiations over a complex commercial contract, strictly adhering to principled negotiation might lead to deadlock if parties are unwilling to compromise on certain positions. Pragmatic negotiation allows parties to strategically adjust their approach, balancing fairness with practical considerations

to reach workable solutions. Nevertheless, the benefits of principled negotiation, such as fostering trust, clear communication and joint problem-solving, remain valuable even in complex disputes, providing a foundation for fair and enduring agreements when combined with pragmatic flexibility.

Learning activity 1

Discussion activity 1

Discuss the following question:

Emma runs an online boutique selling handmade jewellery in the UK. A supplier from Ireland delivered a batch of defective materials, causing delays in fulfilling customer orders. Emma contacts the supplier to negotiate a solution, aiming to either get a partial refund, a replacement shipment, or a discount on future orders. The negotiation takes place partly via email and partly through a video call. The supplier seems reluctant to offer a satisfactory resolution.

1. **Propose different negotiation strategies Emma could use to resolve the dispute effectively.**
2. **Explain the principles behind each strategy and why it could work.**
3. **Identify how the strategies could differ between online (email) and face-to-face (video call) negotiation.**
4. **Consider both short-term solutions (immediate refund or replacement) and long-term outcomes (maintaining supplier relationship).**

Post your answers in the **Topic 3 – Discussion activity 1**.

Topic 3 – Discussion activity 1

Exam question activity 1

Try to answer the following question:

'A UK-based technology company is in dispute with an international supplier over alleged breaches of a software licensing agreement. Both parties claim the other failed to meet contractual obligations, and formal litigation would be costly and time-consuming. Negotiations so far have reached an impasse due to conflicting interpretations of key contract terms.'

Critically assess how pragmatic negotiation could be applied in this scenario to achieve a workable resolution, compared to strictly principled negotiation.

Feedback is available but try to answer on your own first. Your response will not match the feedback exactly but you should compare your performance with it and consider whether you took all the relevant factors into account.

Topic 3 – Exam question activity 1

Quick quiz 1

Am I ready to move on?

You are ready to move on to the next topic if, without referring to the module content or textbook, you can answer the following questions:

1. What is the definition of negotiation and its theoretical development?
2. What are the types and characteristics of negotiation?
3. What are the principles of negotiating strategies?
4. What is the process of negotiation?
5. What are the different strategies in dealing with face-to-face negotiations and online negotiations?

Further reading

- Lowenthal, G.T. 'A general theory of negotiation process, strategy, and behavior' (1982–1983) 31(1) *University of Kansas Law Review* 69–114.
- Lai, H., W. Lin and G.E. Kersten 'The importance of language familiarity in global business e-negotiation' (2010) 9 *Electronic Commerce Research and Applications* 537–48.
- Shonk, K. *Negotiation tools and techniques: research roundup* 18 September 2025.
- Harvard Law School *Make the most of online negotiations*.